

Lec 3

31st July, 2026

Cost Accounting — Complete Notes with Cost Sheet Math

1. Fundamental Definitions

Cost (CIMA): the amount of expenditure incurred on or attributable to a given thing. It is what is sacrificed to obtain something — direct material + direct labour + direct/indirect expenses allocated or apportioned to it.

- **Cost Allocation:** charging a *whole* item of cost directly to one cost centre/unit (no splitting needed — e.g., depreciation of a machine used only in Dept A → allocated fully to Dept A).
- **Cost Apportionment:** charging a *proportion* of a shared cost to multiple cost centres/units on some equitable basis (e.g., factory rent split by floor area).
- **Cost Unit:** a unit of product/service/time against which cost is measured. E.g., ₹ per labour hour, ₹ per km, ₹ per tonne.
- **Cost Centre:** a location, person, or item of equipment (or group of these) for which costs are accumulated and control is exercised — not itself revenue-generating.
 - *Productive cost centre:* directly engaged in production (e.g., machining shop).
 - *Service cost centre:* supports production (e.g., canteen, stores, maintenance).

Costing: the *technique and process* of ascertaining costs (Wheldon: classifying, recording, and allocating expenditure to determine cost of products/services, and presenting data for control and management guidance).

Cost Accounting (CIMA): the process of accounting for cost from the point expenditure is incurred/committed, up to establishing its relationship with cost centres and cost units. Covers: (a) ascertainment of cost, (b) planning & control, (c) decision-making.

Cost Accountancy (CIMA): the application of costing and cost accounting principles, methods, and techniques to the science, art, and practice of cost control and profitability ascertainment, including presentation of information for management decisions. It is the broadest term — the "umbrella" discipline.

Management Accounting: uses financial and cost data to help management plan, decide, evaluate performance, control costs, and ensure accountable use of resources. Produces both

quantitative and qualitative reports.

Objectives of Management Accounting

1. Supplies decision-relevant information tailored to the decision at hand.
 2. Analyses/interprets data using financial-analysis tools, with commentary and conclusions.
 3. Aids control via standard costing, budgetary control, responsibility accounting.
 4. Motivates managers/employees toward organisational goals.
 5. Measures performance of sub-units, managers, employees.
 6. Produces comprehensive reports (quantitative + qualitative).
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2. Financial Accounting vs Cost Accounting

Point	Financial Accounting	Cost Accounting
Coverage	Whole business, all transactions	Specific activities (production, sales, services)
Purpose	External reporting (owners, creditors, tax, govt, investors)	Internal reporting to management
Nature of costs	Historical only	Historical + estimated
Expense recording	In totals	Analysed/classified — cost per unit
Profit analysis	Overall business profit only	Profit by product/process/department
Reporting frequency	Periodic (usually annual)	Continuous — daily/weekly/monthly
Control techniques	None	Standard costing, marginal costing, budgetary control, ABC analysis, EOQ, idle-time control
Statements	General purpose (P&L, Balance Sheet)	Special purpose (loss reports, idle-time reports, variance reports)
Pricing guidance	Not provided	Provides data for pricing policy
Stock valuation	Lower of cost or market/NRV	Always at cost
Efficiency evaluation	Insufficient for this	Helps evaluate efficiency
Cost break-up	Not broken up	Broken up by nature and function

Point	Financial Accounting	Cost Accounting
Inter/intra-firm comparison	Not possible	Possible
Cost classification	No fixed/variable or controllable/uncontrollable split	Classified into these categories
Reference for disputes	Company law, case law, business ethics	Conventions followed by cost accountants
Transactions covered	Only monetary, only actual facts	Monetary + non-monetary; facts + estimates

3. Costing vs Cost Accounting vs Cost Accountancy

Point	Costing	Cost Accounting	Cost Accountancy
Scope	Broad	Narrow	Broadest
Function	Ascertainment of cost	Recording of cost	Formulating costing principles/methods/techniques
Sequence	Begins where cost accountancy ends	Begins where costing ends	Starting point
Persons involved	Cost accountant	Cost clerks	Experts (management accountants)

4. Elements of Cost (by nature)

Primary classification: **Material + Labour (Wages) + Expenses.**

4.1 Material Cost

Direct Material: physically traceable, conveniently measured, and specifically chargeable to a job/product/unit. Examples: steel/tyres (automobile), wood/fabric (furniture), flour/yeast (bread), cement/bricks (construction), cloth/thread (garments). Characteristics: present in the finished product; measurable per unit; significant cost; varies directly with volume.

Indirect Material: cannot be conveniently/economically traced to one product; supports production without forming a visible/measurable part of the output. Examples: lubricants, cleaning rags (automobile plant); sandpaper, glue (furniture); grease, cleaning agents (bakery); nails, wire (construction); stationery, safety gear (any factory). Characteristics: not traceable;

small/impractical to measure per unit; treated as factory overhead; doesn't vary cleanly with output.

Four tests to classify a material as Direct vs Indirect:

1. **Traceability Test** — Can you physically see/measure it in the final product? Yes → Direct.
2. **Practicality Test** — Even if traceable, is tracking economical? If cost of tracking > benefit → Indirect (e.g., thread in a shirt).
3. **Significance Test** — Is the cost large enough to matter? High value → Direct; trivial → Indirect.
4. **Variation Test** — Does usage move directly with output? Proportional → Direct; loosely related/fixed → Indirect.

4.2 Labour Cost — Direct vs Indirect (same logic as material)

- Direct labour: wages of workers directly engaged in converting raw material into finished goods, traceable to a specific job/product (machine operators, assembly workers).
- Indirect labour: wages of workers who support production but aren't traceable to one unit (supervisors, storekeepers, security, maintenance staff).

4.3 Expenses — Direct vs Indirect

- Direct expenses: expenses specifically incurred for a particular job/product (e.g., hire of special machinery for one job, royalty per unit produced).
- Indirect expenses: general expenses benefiting multiple products/cost centres (factory rent, depreciation, insurance, power) — these form **overheads**.

Overheads = Indirect material + Indirect labour + Indirect expenses, split further by function into Factory, Administration, Selling, Distribution overheads.

5. Functional Classification of Cost

a) Factory Cost (Works Cost / Manufacturing Cost)

All cost incurred within factory premises to convert raw material into finished goods. Test:
"Would this cost disappear if we shut the factory down?" → Yes = Factory Cost.

Includes: Direct Material + Direct Labour + Direct Expenses + Factory Overheads (indirect material, indirect labour, indirect expenses — factory rent, machine depreciation, power, plant insurance).

b) Administrative (Office) Cost

Cost of policy formulation, direction, and control of the business as a whole — not tied to factory, selling, or R&D. Test: *"Is this about managing/governing the business, not production or sales?"* → Yes = Admin Cost. Includes: management/office salaries, office rent & utilities, office depreciation, audit/legal fees, stationery, board/AGM expenses. Excludes: factory manager salary (Factory), sales manager salary (Selling), R&D head salary (R&D).

c) Selling Cost

Cost of creating demand and persuading customers to buy. Test: *"Does this bring the customer to the product?"* → Yes = Selling Cost. Includes: sales salaries/commission, advertising, showroom expense, market research, after-sales service, sales office expense.

d) Distribution Cost

Cost of physically moving the finished product from factory to customer. Test: *"Is this about moving the product after it leaves the factory?"* → Yes = Distribution Cost. Includes: packing, freight, warehousing, loading/unloading, transit insurance, delivery vehicle depreciation.

Selling = demand creation, pre/at sale. Distribution = demand fulfilment, post sale.

e) Research & Development Cost

Cost of discovering new knowledge (Research) and converting it into a viable product/process before commercial production (Development). Test: *"Is this about discovering something new, or converting a discovery into a product?"* → Yes = R&D Cost. Includes: R&D salaries, lab consumables, test equipment, patent/licence fees, prototype cost, trial production runs.

Quick classification key:

Question (Yes →)	Cost type
Happened inside factory to make the product	Factory Cost
Happened to manage/govern the whole business	Admin Cost
Happened to get customer to buy/receive product	Selling & Distribution Cost
Happened to create/improve a not-yet-in-production product/process	R&D Cost

6. Behavioural Classification of Cost

Fixed Cost: accrues with time; unaffected by output/turnover fluctuations within a relevant range. Total remains constant; **per-unit fixed cost falls as output rises**. Controlled mainly by top management; apportioned to departments on an equitable basis.

Output	Total Fixed Cost (₹)	Fixed Cost/unit (₹)
0	10,00,000	—
1	10,00,000	10,00,000
2	10,00,000	5,00,000
3	10,00,000	3,33,333
4	10,00,000	2,50,000

Variable Cost: varies in direct proportion to output. Total varies with volume; **per-unit variable cost stays constant**. Controllable by departmental heads; easy to allocate/apportion.

Output	Variable Cost/unit (₹)	Total Variable Cost (₹)
0	5	0
1	5	5
2	5	10
3	5	15
4	5	20

Mnemonic: **Fixed cost is variable per unit; variable cost is fixed per unit.**

Semi-Variable Cost: contains both fixed and variable elements — partly affected by output changes. Has a fixed floor and a variable part that moves at a constant rate or in lump sums (e.g., electricity bill with a fixed minimum charge + per-unit rate).

7. Controllability Classification

Controllable Cost: can be directly influenced by a specific manager within a given period (e.g., overtime by a production supervisor, ad spend by marketing manager). Basis of *responsibility accounting*; usually short-term/variable.

Uncontrollable Cost: cannot be influenced by a given manager at that level (factory rent, depreciation, statutory levies, head-office allocated overhead, senior management salaries fixed by the board). Manager is accountable but shouldn't be judged on it.

Escapable (Avoidable) Cost: disappears if the related activity/decision is discontinued (direct material/labour of a discontinued product, branch rent on closure, campaign-specific agency fees). Key question: *"If we stop, does this cost go away?"* Relevant for shut-down/drop-or-continue/outsourcing decisions.

Inescapable (Unavoidable) Cost: continues regardless of the decision (shared factory rent, allocated HO overhead, sunk/committed costs, GM salary). Should be **ignored** in drop-or-continue decisions since it doesn't change with the decision.

8. Cost Sheet — Format & Ind AS Alignment

A **Cost Sheet** is a statement that accumulates and presents the elements of cost of a product/job/process in a stepwise manner, arriving finally at profit.

Ind AS Linkage

Under **Ind AS 2 (Inventories)**:

- Inventories are valued at the **lower of cost and Net Realisable Value (NRV)**.
- **Cost of inventories** = cost of purchase + cost of conversion (direct labour + systematically allocated fixed & variable production overheads) + other costs incurred in bringing inventories to present location/condition.
- **Abnormal amounts** of wasted material, labour, or other production costs are **excluded from cost** and expensed as incurred (not carried in inventory).
- **Selling costs are excluded from cost of inventory** — Ind AS 2 explicitly excludes selling costs from inventory valuation; only Factory (production) cost is inventoriable.
- **Administrative overheads** are included in inventory cost only to the extent they contribute to bringing inventory to its present location/condition (i.e., production-related admin, not general corporate admin).
- Fixed production overheads are allocated based on **normal capacity**; under-absorption due to abnormally low production is expensed, not loaded onto inventory.

These principles shape *where stock adjustments sit* in the cost sheet below — raw material and WIP stock adjustments happen inside Factory Cost (inventoriable); finished goods stock adjustment happens at Cost of Production stage (inventoriable, valued at cost or NRV whichever lower); admin/selling/distribution overheads are period costs added *after* Cost of Production, consistent with them being non-inventoriable.

Standard Cost Sheet Format

	₹
Opening Stock of Raw Material	XXX
Add: Purchases of Raw Material	XXX
Add: Carriage Inward / Freight on purchase	XXX
Less: Closing Stock of Raw Material	(XXX)

Raw Material Consumed	XXX
Add: Direct Labour (Wages)	XXX
Add: Direct Expenses (incl. royalty on production, hire of special plant for the job)	XXX

PRIME COST	XXX

Add: Factory (Works) Overheads	
- Indirect material, indirect labour	
- Factory rent, power, depreciation of plant	
- Factory supervision, insurance of plant	XXX
Add: Opening Work-in-Progress	XXX
Less: Closing Work-in-Progress	(XXX)
Less: Sale of Scrap (normal)	(XXX)

FACTORY / WORKS COST (Gross Works Cost)	XXX

Add: Administrative Overheads (production-related portion only, per Ind AS 2)	XXX

COST OF PRODUCTION	XXX

Add: Opening Stock of Finished Goods (at cost)	XXX
Less: Closing Stock of Finished Goods (at cost or NRV, whichever is lower)	(XXX)

COST OF GOODS SOLD	XXX

Add: Selling Overheads (advertising, sales salaries, commission, showroom expense)	XXX
Add: Distribution Overheads (freight outward, packing, warehousing of FG, delivery vehicle cost)	XXX

COST OF SALES (Total Cost)	XXX

Add: Profit (balancing figure, or % on cost/sales)	XXX

SALES	XXX
	=====

Key relationships to remember:

- Prime Cost = Direct Material Consumed + Direct Labour + Direct Expenses
- Factory Cost = Prime Cost + Factory Overheads + Opening WIP – Closing WIP – Scrap
- Cost of Production = Factory Cost + Admin Overheads (production-related)
- Cost of Goods Sold = Cost of Production + Opening FG Stock – Closing FG Stock
- Cost of Sales = Cost of Goods Sold + Selling & Distribution Overheads
- Sales = Cost of Sales + Profit
- Profit % on Cost vs Profit % on Sales — always check which base is stated in a question.
 - If profit = 20% on cost: Sales = Cost of Sales × 1.20
 - If profit = 20% on sales: Sales = Cost of Sales ÷ 0.80

9. Ten Solved Examples (Increasing Difficulty)

Example 1 — Basic Cost Sheet (no stock adjustments)

Data: Direct Material ₹40,000; Direct Labour ₹20,000; Direct Expenses ₹5,000; Factory Overheads ₹15,000; Admin Overheads ₹8,000; Selling & Distribution Overheads ₹7,000; Units produced and sold = 1,000.

Solution:

Particulars	₹
Direct Material	40,000
Direct Labour	20,000
Direct Expenses	5,000
Prime Cost	65,000
Add: Factory Overheads	15,000
Factory Cost	80,000
Add: Admin Overheads	8,000
Cost of Production	88,000
Add: Selling & Distribution Overheads	7,000
Cost of Sales (Total Cost)	95,000

Cost per unit = 95,000 / 1,000 = **₹95**

Example 2 — With Raw Material Stock Adjustment

Data: Opening Stock of RM ₹10,000; Purchases ₹60,000; Closing Stock of RM ₹8,000; Direct Labour ₹25,000; Direct Expenses ₹5,000; Factory Overheads ₹18,000; Admin Overheads ₹10,000; Selling Overheads ₹6,000; Units produced = 2,000.

Solution: Raw Material Consumed = 10,000 + 60,000 – 8,000 = **62,000**

Particulars	₹
Raw Material Consumed	62,000
Direct Labour	25,000
Direct Expenses	5,000
Prime Cost	92,000
Factory Overheads	18,000
Factory Cost	1,10,000
Admin Overheads	10,000
Cost of Production	1,20,000
Selling Overheads	6,000
Cost of Sales	1,26,000

Cost per unit = 1,26,000 / 2,000 = **₹63**

Example 3 — With WIP Adjustment

Data: Prime Cost ₹1,50,000; Factory Overheads ₹40,000; Opening WIP ₹12,000; Closing WIP ₹18,000; Admin Overheads ₹20,000; Selling Overheads ₹10,000; Units produced = 3,000.

Solution:

Particulars	₹
Prime Cost	1,50,000
Add: Factory Overheads	40,000
Add: Opening WIP	12,000
Less: Closing WIP	(18,000)
Factory Cost	1,84,000

Particulars	₹
Add: Admin Overheads	20,000
Cost of Production	2,04,000
Add: Selling Overheads	10,000
Cost of Sales	2,14,000

Cost per unit = 2,14,000 / 3,000 = ₹71.33

Example 4 — With Scrap Sale (Factory Cost stage)

Data: Direct Material ₹80,000; Direct Labour ₹35,000; Direct Expenses ₹5,000; Factory Overheads ₹25,000; Sale of scrap (normal) ₹3,000; Admin Overheads ₹15,000; Selling Overheads ₹8,000; Units produced = 2,500.

Solution: Prime Cost = 80,000 + 35,000 + 5,000 = **1,20,000**

Particulars	₹
Prime Cost	1,20,000
Add: Factory Overheads	25,000
Less: Sale of Scrap	(3,000)
Factory Cost	1,42,000
Add: Admin Overheads	15,000
Cost of Production	1,57,000
Add: Selling Overheads	8,000
Cost of Sales	1,65,000

Cost per unit = 1,65,000 / 2,500 = ₹66

Example 5 — Production ≠ Sales (Finished Goods Stock Adjustment)

Data: Cost of Production ₹2,00,000 for 4,000 units produced. Opening Stock of FG = 500 units (at last period's cost of ₹48 per unit = ₹24,000). Closing Stock of FG = 800 units. Selling Overheads ₹20,000. Units sold = 4,000 + 500 – 800 = 3,700.

Solution: Cost of Production per unit (current period) = $2,00,000 / 4,000 = ₹50$ Closing FG Stock valuation = $800 \times ₹50 = ₹40,000$ (valued at current cost; assume $\leq$ NRV, so cost basis holds per Ind AS 2)

Particulars	₹
Cost of Production (4,000 units)	2,00,000
Add: Opening Stock of FG (500 units)	24,000
Less: Closing Stock of FG (800 units @ ₹50)	(40,000)
Cost of Goods Sold (3,700 units)	1,84,000
Add: Selling Overheads	20,000
Cost of Sales	2,04,000

Cost per unit sold = $2,04,000 / 3,700 = ₹55.14$

Example 6 — Profit as % on Cost vs % on Sales

Data: Cost of Sales = ₹3,00,000. Find Sales and Profit if (a) profit is 25% on cost, (b) profit is 20% on sales.

Solution (a) — 25% on cost: Profit = $3,00,000 \times 25\% = ₹75,000$ Sales = $3,00,000 + 75,000 = ₹3,75,000$

Solution (b) — 20% on sales: Let Sales = S. Cost of Sales = 80% of S (since profit is 20% of sales). $3,00,000 = 0.80 \times S \rightarrow S = 3,00,000 / 0.80 = ₹3,75,000$ Profit = $3,75,000 - 3,00,000 = ₹75,000$

(Coincidence here that both give the same numbers is due to the chosen figures — always check the base stated in the question; the two methods generally give different answers.)

Example 7 — Comprehensive Cost Sheet with Multiple Stock Adjustments

Data:

- Opening Stock of RM ₹15,000; Purchases ₹1,20,000; Carriage Inward ₹5,000; Closing Stock of RM ₹20,000
- Direct Wages ₹60,000; Direct Expenses ₹10,000

- Factory Overheads ₹30,000; Opening WIP ₹8,000; Closing WIP ₹12,000
- Admin Overheads ₹18,000
- Opening Stock FG (600 units, ₹40 each) = ₹24,000; Units produced = 5,000
- Selling & Distribution Overheads ₹25,000
- Units sold = 5,300; Profit = 15% on Sales

Solution: RM Consumed = 15,000 + 1,20,000 + 5,000 – 20,000 = **1,20,000**

Particulars	₹
RM Consumed	1,20,000
Direct Wages	60,000
Direct Expenses	10,000
Prime Cost	1,90,000
Factory Overheads	30,000
Add: Opening WIP	8,000
Less: Closing WIP	(12,000)
Factory Cost	2,16,000
Admin Overheads	18,000
Cost of Production (5,000 units)	2,34,000

Cost of Production per unit = 2,34,000 / 5,000 = ₹46.80

Closing Stock FG units = 600 (opening) + 5,000 (produced) – 5,300 (sold) = 300 units
 Closing Stock FG value = 300 × ₹46.80 = ₹14,040

Particulars	₹
Cost of Production	2,34,000
Add: Opening Stock FG (600 units)	24,000
Less: Closing Stock FG (300 units @ ₹46.80)	(14,040)
Cost of Goods Sold (5,300 units)	2,43,960
Add: Selling & Distribution Overheads	25,000
Cost of Sales	2,68,960

Profit is 15% on Sales → Cost of Sales = 85% of Sales
 Sales = 2,68,960 / 0.85 = **₹3,16,423.53**
 Profit = 3,16,423.53 – 2,68,960 = **₹47,463.53**

Example 8 — Cost Sheet with Abnormal Loss (Ind AS 2 exclusion)

Data: Prime Cost ₹2,50,000. Factory Overheads incurred ₹80,000, of which ₹10,000 relates to an abnormal machine breakdown (idle capacity loss). Admin Overheads ₹40,000. Selling Overheads ₹15,000. Units produced (good units only) = 4,800 (500 units were spoiled abnormally and scrapped with zero recovery).

Solution: Per Ind AS 2, abnormal costs are **excluded from inventoriable cost** and expensed separately (shown below the cost sheet, or in the P&L as an abnormal loss — not loaded onto good production).

Normal Factory Overheads absorbed into cost = 80,000 – 10,000 = **70,000**

Particulars	₹
Prime Cost	2,50,000
Add: Factory Overheads (normal only)	70,000
Factory Cost (4,800 good units)	3,20,000
Admin Overheads	40,000
Cost of Production	3,60,000
Selling Overheads	15,000
Cost of Sales	3,75,000

Cost per unit (good units) = 3,75,000 / 4,800 = **₹78.13**

Separately disclosed: Abnormal Factory Overhead Loss = ₹10,000 (charged directly to Costing P&L, not to inventory — consistent with Ind AS 2 excluding abnormal wastage from cost).

Example 9 — Comprehensive Cost Sheet with Overhead Absorption Rate + Under-Absorption

Data: Direct Material ₹3,00,000; Direct Labour ₹1,50,000; Direct Expenses ₹20,000. Factory Overheads are recovered at a **pre-determined rate of ₹15 per machine hour**; actual machine hours worked = 8,000 hours (budgeted machine hours for the period = 9,000 hours at the same rate). Actual Factory Overheads incurred = ₹1,40,000. Admin Overheads = 10% of Factory Cost. Selling Overheads ₹30,000. Units produced = 10,000. Profit = 20% on Cost of Sales.

Solution: Factory Overheads Absorbed = 8,000 hrs × ₹15 = **₹1,20,000** Under-absorption = Actual (1,40,000) – Absorbed (1,20,000) = **₹20,000** (to be written off to Costing P&L per standard practice, not loaded onto units — consistent with Ind AS 2's normal-capacity principle for fixed overhead allocation)

Particulars	₹
Direct Material	3,00,000
Direct Labour	1,50,000
Direct Expenses	20,000
Prime Cost	4,70,000
Add: Factory Overheads absorbed	1,20,000
Factory Cost	5,90,000
Add: Admin Overheads (10% of Factory Cost)	59,000
Cost of Production (10,000 units)	6,49,000
Add: Selling Overheads	30,000
Cost of Sales	6,79,000

Profit = 20% on Cost of Sales = 6,79,000 × 20% = **₹1,35,800** Sales = 6,79,000 + 1,35,800 = **₹8,14,800** Selling price per unit = 8,14,800 / 10,000 = **₹81.48**

Note on under-absorption: ₹20,000 is disclosed separately as an under-absorbed overhead expense in the Costing P&L; it does not enter the cost sheet's unit cost, since loading it onto good units would inflate inventory beyond actual cost incurred for normal operations — mirroring the Ind AS 2 principle that fixed overhead allocation is based on normal capacity.

Example 10 — Full Reconciliation: Cost Sheet + Tender/Quotation Price + Multiple Adjustments

A company wants to quote a price for a special order of **1,000 units**. From last year's accounts (total production 20,000 units):

Item	₹ (Total, 20,000 units)
Direct Material	8,00,000
Direct Labour	4,00,000
Direct Expenses	60,000

Item	₹ (Total, 20,000 units)
Factory Overheads	3,20,000
Admin Overheads	1,60,000
Selling & Distribution Overheads	2,00,000

Additional info for the special order:

- Direct Material cost is expected to rise by 5%.
- Direct Labour rate is expected to rise by 10%.
- Factory Overheads are recovered as a % of Direct Labour.
- Admin Overheads are recovered as a % of Factory Cost.
- Selling & Distribution Overheads are recovered as a % of Cost of Production.
- No Selling & Distribution overhead is to be charged on this order (direct government contract, no selling effort — a common exam variant) — **but** the order must still show normal profit margin of 12% on Cost of Production only.

Step 1: Cost per unit last year

- Direct Material/unit = $8,00,000 / 20,000 = ₹40$
- Direct Labour/unit = $4,00,000 / 20,000 = ₹20$
- Direct Expenses/unit = $60,000 / 20,000 = ₹3$
- Factory OH % of Direct Labour = $3,20,000 / 4,00,000 = 80\%$
- Admin OH % of Factory Cost = $1,60,000 / (8,00,000 + 4,00,000 + 60,000 + 3,20,000) = 1,60,000 / 15,80,000 = 10.127\%$ (round to 10.13%)

Step 2: Estimated cost per unit for the special order (1,000 units)

- Direct Material = $40 \times 1.05 = ₹42.00$
- Direct Labour = $20 \times 1.10 = ₹22.00$
- Direct Expenses = ₹3.00 (assume unchanged)
- Prime Cost/unit = $42.00 + 22.00 + 3.00 = ₹67.00$
- Factory OH/unit = $80\% \times 22.00 = ₹17.60$
- Factory Cost/unit = $67.00 + 17.60 = ₹84.60$
- Admin OH/unit = $10.13\% \times 84.60 = ₹8.57$
- Cost of Production/unit = $84.60 + 8.57 = ₹93.17$

Step 3: Total for 1,000 units and quotation price

- Total Cost of Production = $1,000 \times 93.17 = ₹93,170$
- Profit @ 12% on Cost of Production = $93,170 \times 12\% = ₹11,180.40$

- **Quoted Price for the order = 93,170 + 11,180.40 = ₹1,04,350.40**
- Quoted price per unit = **₹104.35**

Full working cost sheet for the order:

Particulars	Per Unit (₹)	Total, 1,000 units (₹)
Direct Material (@ +5%)	42.00	42,000
Direct Labour (@ +10%)	22.00	22,000
Direct Expenses	3.00	3,000
Prime Cost	67.00	67,000
Factory Overheads (80% of Direct Labour)	17.60	17,600
Factory Cost	84.60	84,600
Admin Overheads (10.13% of Factory Cost)	8.57	8,570
Cost of Production	93.17	93,170
Profit (12% of Cost of Production)	11.18	11,180
Quoted Price	104.35	1,04,350

(No Selling & Distribution Overhead loaded, per the special contract terms — illustrating that cost-sheet structure is flexible to the actual cost-behaviour and contractual facts of a scenario, while still respecting the Prime Cost → Factory Cost → Cost of Production sequence.)

10. Quick Revision Checklist

- ☐ Cost, Cost Unit, Cost Centre, Allocation vs Apportionment — definitions clear
- ☐ Financial vs Cost Accounting — 18-point distinction table
- ☐ Costing vs Cost Accounting vs Cost Accountancy — 4-point distinction
- ☐ Elements of cost: Material / Labour / Expenses, each split Direct vs Indirect
- ☐ Four tests for Direct vs Indirect material classification
- ☐ Functional classification: Factory, Admin, Selling, Distribution, R&D — with the "one identifying question" table
- ☐ Behavioural classification: Fixed, Variable, Semi-Variable — with per-unit vs total behaviour
- ☐ Controllability: Controllable/Uncontrollable, Escapable/Inescapable
- ☐ Cost Sheet sequence: Prime Cost → Factory Cost → Cost of Production → COGS → Cost of Sales → Sales

- ☐ Ind AS 2: inventory at lower of cost/NRV; abnormal costs excluded; selling costs excluded from inventory; fixed OH allocated on normal capacity
- ☐ Profit on Cost vs Profit on Sales — always confirm the base before computing Sales